Associate → Subsidiary: Change-in-Holdings & Consolidation Journals

Business combination achieved in stages (step acquisition) — IFRS 3.41–42 and IAS 28.22. The previously held associate interest is treated as if disposed of at fair value and reacquired when control is obtained.

PART 1 — Change-in-holdings journals (at the date control is obtained)

1. Remeasure the previously held associate interest to fair value (IFRS 3.42)

```
Dr   Investment in former associate      (FV at acquisition date − equity-accounted carrying amount)
  Cr   Gain on remeasurement of previously held interest (P/L)
```

Reverse the entry (Dr loss in P/L) if fair value is below the carrying amount.

2. Reclassify / transfer the associate's accumulated OCI (treated as a disposal — IAS 28.22)

Items that WOULD reclassify to P/L on disposal (e.g. FCTR, cash-flow hedge reserve, FVOCI debt reserve):

```
Dr   Relevant OCI reserve (e.g. FCTR)
  Cr   Profit or loss (reclassification to P/L)
```

Items that would NOT reclassify (e.g. PPE revaluation surplus, FVOCI equity reserve) — transfer within equity:

```
Dr   Relevant OCI reserve
  Cr   Retained earnings
```

3. Record the consideration for the additional interest acquired

```
Dr   Investment in subsidiary        (cost of the newly acquired shares)
  Cr   Bank / Consideration payable
```

4. Acquisition-method journal (at the acquisition date)

```
Dr   Identifiable assets acquired          (at acquisition-date fair value)
Dr   Goodwill                              (balancing figure)
  Cr   Identifiable liabilities assumed       (at acquisition-date fair value)
  Cr   Non-controlling interest               (at FV, or % of net assets — policy choice)
  Cr   Investment in subsidiary               (FV of previously held interest + consideration transferred)
```

If goodwill is negative, recognise a gain on bargain purchase (Cr P/L) after reassessing the figures.

Goodwill (IFRS 3.32) = Consideration transferred **+** NCI **+** fair value of the previously held equity interest **−** fair value of identifiable net assets acquired.

The three things markers look for: the old associate carrying amount is derecognised and the previously held interest is brought in at **fair value** (not original cost); the **remeasurement gain/loss goes to P/L** and the associate's OCI is recycled as if disposed; and the **full fair value of the previously held interest** enters the goodwill calculation.

PART 2 — Consolidation journals expected after acquisition

A. At-acquisition elimination (pro-forma J1)

Eliminate the parent's investment against the subsidiary's equity at acquisition date, raising goodwill and NCI:

```
Dr   Share capital — subsidiary            (at acquisition)
Dr   Retained earnings — subsidiary        (at acquisition)
Dr   Other reserves — subsidiary           (at acquisition)
Dr   Goodwill
  Cr   Investment in subsidiary               (FV of previously held interest + consideration)
  Cr   Non-controlling interest                (at acquisition)
```

B. Fair-value adjustments to identifiable net assets (at acquisition)

```
Dr   Asset (e.g. PPE, inventory, intangible)   (FV uplift)
  Cr   Fair-value adjustment reserve (equity at acquisition)
  Cr   Deferred tax liability                    (uplift × tax rate)
```

C. Allocate post-acquisition movements to NCI (each period)

```
Dr   NCI share of profit (P/L allocation)
  Cr   Non-controlling interest (SFP)
```

The NCI share of post-acquisition OCI is allocated similarly; dividends the subsidiary pays reduce NCI (Dr NCI / Cr Dividends paid — subsidiary).

D. Depreciation / amortisation on the fair-value adjustments (each period)

```
Dr   Depreciation (P/L)
  Cr   Accumulated depreciation (SFP)
Dr   Deferred tax liability
  Cr   Income tax expense (P/L)
```

Realising an inventory FV uplift instead goes Dr Cost of sales / Cr Inventory in the period the stock is sold.

E. Goodwill impairment (if indicated)

```
Dr   Impairment loss (P/L)
  Cr   Goodwill
```

Under the full-goodwill method, the NCI bears its share of the impairment.

F. Eliminate intragroup transactions and balances

Intragroup sales and purchases:

```
Dr   Revenue
  Cr   Cost of sales
```

Unrealised profit in closing inventory:

```
Dr   Cost of sales (P/L)
  Cr   Inventory (SFP)
Dr   Deferred tax asset
  Cr   Income tax expense             (reverse tax on the unrealised profit)
```

Unrealised profit on an intragroup asset transfer (e.g. PPE), then reverse excess depreciation:

```
Dr   Profit on sale of PPE (P/L)
  Cr   Property, plant and equipment (SFP)
Dr   Accumulated depreciation (SFP)
  Cr   Depreciation (P/L)
```

Intragroup loans and receivables/payables:

```
Dr   Loan / trade payable
  Cr   Loan / trade receivable
```

Intragroup interest and dividends:

```
Dr   Interest income
  Cr   Interest expense
Dr   Dividend income (parent)
  Cr   Dividends paid (subsidiary)
```

Two step-acquisition reminders for later periods: there is **no more equity accounting** — the former associate is now fully consolidated line-by-line with NCI for the outside shareholders; and the **goodwill is fixed at the acquisition date** (previously held interest at fair value plus new consideration) and is not re-measured afterwards, only tested for impairment.